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New Business Primer

Sandy Herz
SDForum Executive Director

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Welcome and Introduction

- Setting the Stage
- About New Business Primer
- About SDForum

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Brave New World

- Era of easy money is over
- New businesses must have:
  - Unfair competitive advantage
  - Experienced management team
  - Compelling business model
- Knowledge and contacts are critical
  - Need to know what you don't know
  - People with money, expertise and resources
- Opportunities abound, but go in with your eyes open

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Remember…

- Starting a venture-funded business is an "economically irrational act"
- The odds of taking a business from concept to IPO are less than a million to one
- If successful, the payoff to founders is typically under $10 million
- Go for it…but go for the right reasons
  - Passion for the technology
  - To create something of lasting value
  - Desire to change the world

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About New Business Primer

- Your toolbox to get from concept to reality
- Five intensive sessions on how you can:
  - Create a fundable business
  - Assess investment alternatives
  - Negotiate the terms of investment
  - Leverage partnerships to grow your company
  - Evaluate exit strategies, from M&A to IPO
- Taught by real investors, experts and experienced entrepreneurs who can help you
- Networking time built in after each session

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Goals for the Day

- Give you the latest information on starting a venture-funded technology company
- Introduce you to a cross-section of key players in Silicon Valley
- Create a forum for honest exchange of ideas and real insights
- Allow you to ask questions and address your particular interests
- Respect your time by staying on schedule

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Why SDForum?

- Neutral non-profit resource center with over 2200 individual members just like you
- 20–30 events each month, including:
  - Educational seminars
  - One-on-one meetings with VCs, angels, lawyers
  - 14 different special interest groups
  - Quarterly showcases and networking events
- Over 65 sponsors including leading venture firms, service providers and tech companies
- Long-standing relationship with Palm to support Palm developers

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Frequently Asked Questions

- Budget: $1.6 million
- Staff: 12 people, 10 FTE
- Funding Sources:

City of San Jose	15%
Member/User Fees	35%
Sponsors	50%

- Success Stories: Hotmail, Calico, Liquid Audio
- VCs: NEA, Onset, Hummer Winblad, Sevin Rosen, Sierra, Softbank
- Board/Advisors: Ann Winblad, Steve Kirsch, Heidi Roizen, Tom Byers

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Contact Us

Software Development Forum
111 West St. John, Suite 200
San Jose, CA 95113
408-494-8378
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http://www.sdforum.org

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Business Plans and Business Models

Peter Ziebelman, Partner, 21VC
Felix Lin, Founder, AvantGo

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Agenda

- State of the market
- Top ten myths (Letterman style)
- Entrepreneur's View
- Questions/comments

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Venturing Under the Influence (VUI)

- Trend: more VUI arrests are likely
- Symptoms: valuations, business models
- No shortage of Kool-aid
- The cure is extreme—massive correction
- Correction in progress—many VUI convictions in the mobile space

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Venture Advice

Pre-April 2000

- Fundable Business Plan
  - Just about anything!
- Presentation
  - To the point
  - Confidence
  - Team

Post-April 2000

- Fundable Business Plan
  - Business model
  - Team
  - Market
- Presentation
  - To the point
  - Confidence
  - Team

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Back to Fundamentals

- Presentation is about the business model
- Founders who developed the model
- Team to create the company

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Key Elements of a Fundable Business

- Huge market opportunity
- Sound, defensible business model
- Management and technical team
- Unfair competitive advantage
- Unique intellectual property

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Top Ten Myths of Internet Venture Capital

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Myth #10—You Have 45 Minutes to Give Your Presentation

- You have only 5 minutes
- …to earn their attention for the next 40 minutes
- In that 5 minutes:
  - Get to the point
  - Show confidence (not arrogance)
  - Explain your unfair advantage
- Do not waste time by telling your name and history

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Myth #9—Save the Good Stuff for the End of the Presentation

- Introduction by an “influencer”
- Give them the best you have in the “first 5”
- Different from a good mystery novel
- What is your unfair advantage?

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Myth #8—Investments Happen Naturally

- It is a sales process
- Know your account; be prepared
- Create a sense of urgency
- Prepare a two-paragraph e-mail delivered under someone else's signature
- Pitch VC firms from different tiers at the same time
- Create buzz and urgency with multiple introductions

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Myth #7—The VC Will Help You Develop Your Business Model

- You need a coherent model
- It may evolve over time—agility is key
- How do you make money
  - This year
  - Next year
  - In the IPO year

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Myth # 6—The VC Knows Your Business

- Best time to educate: before closing
- VC can be a real asset
- Board positions are strategic
- Combination of arrogance and determination

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Myth #5—Build Where There Is No Competition

- No competition = no market
- Look at all types of competitors
- Know your competition
- It may be in your VC's portfolio!

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Myth #4—B2C Is Dead

- The Pre-April B2C business model is dead
- As is the typical B2B exchange business model
- …and many mobile business models!
- There are many viable B2C business models
- I will look forward to your plan!

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Myth #3—A Big Business Is the Only Business

- Post April—not every business is an IPO
- Know your trajectory
- Different VCs are looking for different trajectories
- Tough times: good time to raise money

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Myth #2—You Need to Know Everything About Your Business

- Know what you do not know
- Timeline to acquire the people and the data
- Know your customer

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Myth #1—The IPO Is Your Goal

- VCs focus: long-term survival plan
- Build the business beyond IPO
- Develop the team
- Market size

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Entrepreneur Perspective

Beware: unsolicited advice

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Entrepreneur Perspective
Getting Ready for Battle

- Build the five-year business plan
  - Test 1: $100MM in revenue in four years?
  - Test 2: Can you pitch the business in 30 seconds?
- Get a damn good lawyer…
  - …Your ONLY true resource
  - …Your first real test
  - …Your matchmaker with VCs
- Prepare
  - Due diligence on VCs is critically important
  - Never attempt the frontal assault (you MUST find someone else to make the introduction)

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Entrepreneur Perspective
Battlefield Strategy

- Raise money in “the worst of times”
  - When the bar is raised, higher quality deals become easier to discern
  - VCs, by definition, must put $$$ to work
- Pitch VCs in “groups”
  - Prepare a two-paragraph, plain-text, e-mail intro to be delivered under someone else’s signature
  - Pitch VC firms from different tiers at the same time
  - Create buzz and urgency with multiple introductions
  - Goal: term sheets from *multiple* VCs within days of each other

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Entrepreneur Perspective
The Art of War

- The first 30 seconds are the most important
  - What…[product] generates $100MM
  - Where…$100B [wireless|mobile] market
  - When…less than 4 years
  - Why…are you best positioned to succeed?
  - How…will you make sure you will be the winner?
  - Who…are you?
- Warning signs
  - Never-ending due diligence
  - *Any* excuse for not doing the deal

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Entrepreneur Perspective
The Art of War II

- Keep perfect information away from everyone
  - …except possibly your attorney
  - …or your priest
- Beware: valuation is only part of the equation
  - Learn how other deal terms (i.e., liquidation preference) impact your future decisions
- "It's not about the money"
  - Passion counts
  - NO FEAR
  - It *is* about the money

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Summary

- Mobile space is a tornado
- Key is a fundable business model
- Rely on “influencers”
- Efficient presentation (sales) process
- Build for the long term

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Q&A

21st Century Internet

- $150 million venture capital funds
- We are a start-up!
- Focused and designed for the Internet
- Over 400 plans a month
- Peterz@21VC.Com www.21VC.Com



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21st Century Internet

Thank you!

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Evaluating Equity Alternatives

Robert S. Winter
Partner, Rocket Ventures

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Differences Among the Investors

	Pros	Cons
Customers (Buyer)	Cheapest monies Enhances customer-orientation Builds value (market validation)	Little value-added
Corporate	Can strengthen focus Can add strategic leverage (e.g., channel, tech, manufacture)	Value maybe unclear Must align to agenda
Private/Angel	Little money to invest More total $ available Can be more flexible on exit Willing to take more risk	Lots of alternatives Harder to find Have specific areas
Venture Capital	Deep “pockets” Have to invest Rich resource network *Discipline*	Expensive money Desire exit strategy

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Internalize the Key Elements of Success

- Build a compelling story
- Understand process & motivations of investors
- Get qualified referral to investment group
- Seek to build a relationship with a partner
- Allot time to raise funds…it's a process
  - Average, 3-6 months… can be up to 9^{+} months
  - ∴ Don't go in, starved for cash
- Have a fundable team
- Stage investments to minimize dilution

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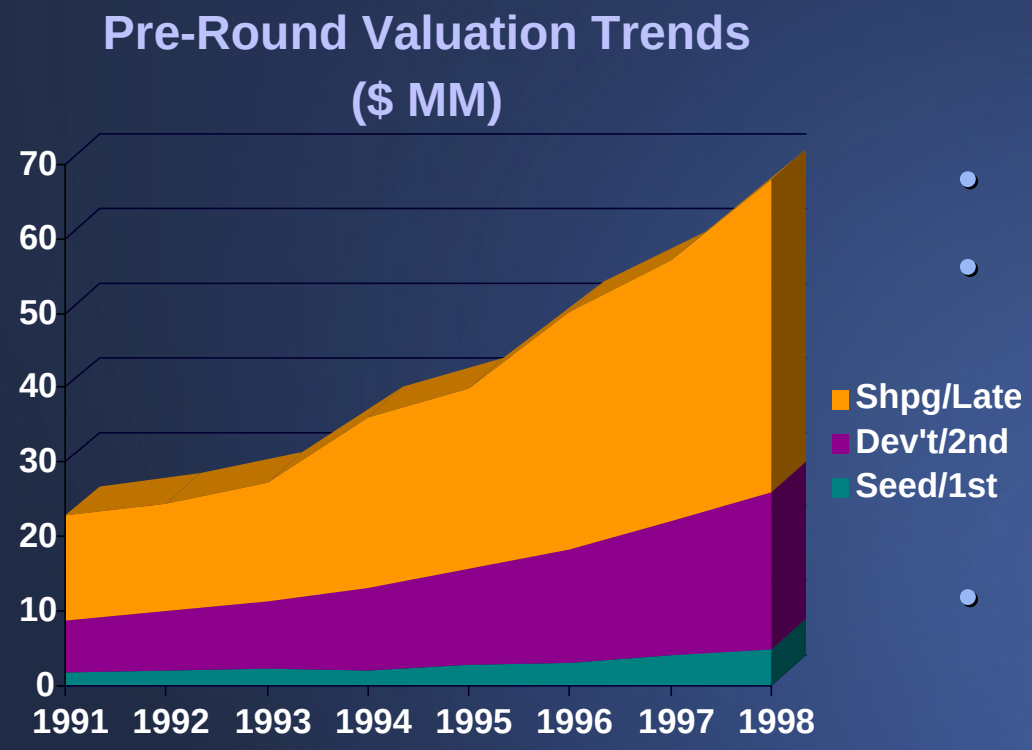
Venture Valuations Are…
"More Art Than Science"

- Pricing is dependent on…
  - Milestone stage and degree of risk (incl. team)
  - Expected time for expect return
  - Market size and product uniqueness
  - Market "noise level"
  - Condition of public/private markets
  - Traditional valuation methods, e.g., DCF, market multiples, are limited
  - Understand venture 'comps' (ref. VentureOne)
- Must be considered in light of other issues—i.e., Terms and Conditions can be more important

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Understand the Secret to Minimizing Dilution ➡ Stage Your Capital



- Post-seed venture rounds are exhibiting rapid ⬆ valuation
- Faster today than the past
- Driven by…
  - NASDAQ liquidity
  - Crossover funds
  - Desire to put larger amounts of capital to use
- An Example…
  - 7/98, Series A: $4 MM pre-value; $6 MM post-value
  - 7/99, Series B: $40 MM pre-value; $53 MM post-value

Source: VentureOne, 1999

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Round Size & Pre-Money Valuation

	Round Size		Pre-Money Valuation	
Stage	Range	Typical	Range	Typical
Seed	$100K-2M	$1M	$1-4M	$2.5M
1st	$1-10M	$5M	$3-10M	$6M
2nd	$5-30M	$10M	$10-100M	$20M
3rd/Bridge	$20-100M	$30M	$50-200M	$80M

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It's About Managing Risk…

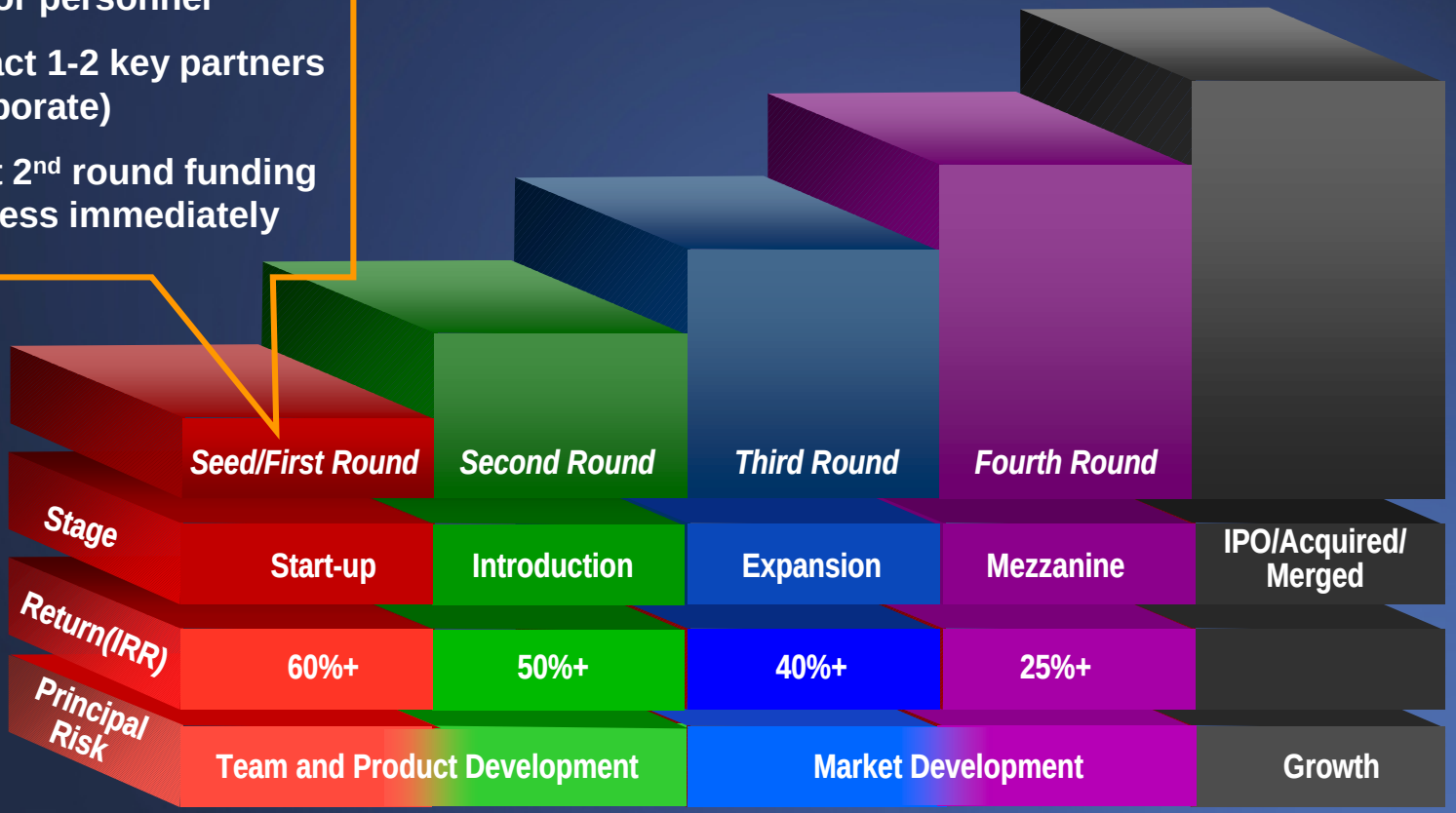
- Market
  - What problem is this product solving?
  - Is it a big enough market (>$1+ billion for VCs)?
- Technology
  - Who owns the idea and technology?
- Financial
  - How much and long will it take?
- Management
  - Can this team exploit the market opportunity?

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Milestones Drive Investment and Build-out, While Managing Risk

- Complete version 1.2
- Recruit select, key senior personnel
- Attract 1-2 key partners (corporate)
- Start 2nd round funding process immediately



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Deadly Sins, Why VCs Won't Fund You…

- Wrong team, no team, weak team
- Not a business, but a technology or product
- Few if any barriers to entry; long sell cycle; etc.
- Wrong business model—can't make money, can't cost effectively get customers, etc.
- Misrepresentation of the team, deal
- Small or no market; no market validation
- Not compelling—complicated or no clear value
- Assumes no competition

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Evaluating Investment Alternatives

Panel Members

- Hans Severins: Founder, Band of Angels
- Don Wood: Partner, Vanguard Ventures
- Carol Lauffer: Principal, Panasonic Digital Concepts Center
- Robert Hayes: Director, Palm Ventures

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Negotiating Term Sheets

David Makarechian
Partner, Brobeck, Phleger & Harrison

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- Approaching The Deal
- Sample Term Sheet
- Key Points

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Approaching the Deal

- Don’t be rushed
- STOP!! Don’t sign that yet?
  (Get professional help BEFORE beginning negotiations)
- You will live with this transaction for the rest of the Company’s life

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Approaching the Deal

- What is Preferred Stock?
- Series A terms should be simple

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Sample Term Sheet

- Valuation
- Investors
- Capitalization
- Dividends
- Liquidation Preference
- Founders' Vesting
- Redemption
- Conversion/Anti-Dilution
- Board Members

- Voting and Protective Provisions
- Right of First Offer
- Right of First Refusal
- Registration Rights
- Information and Inspection Rights
- No Shop
- Key Person Insurance
- Co-Sale

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Founders' Stock Vesting

- Credit for worked performed
- Change of Control
- Founders' Protection

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Liquidation

- Fully Participating
- Non Participating
- Partial Participating

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Board Composition

- Control Issues
- “Outsider” most likely not your ally

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Anti-Dilution

- Non-Price
- Weighted Average
- Ratchet

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Protective Provisions

- Class and Series
- Management Protections
  - Debt
  - Salaries
  - Partnering
  - Contracts above $x.xx
  - Other
- Fundamental Preferred Protections
  - Additional Preferred Stock
  - Merger or Consolidation
  - Liquidation
  - Amendments to Article that Adversely Affect Preferred

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Valuation

- Business Discussion
- What about the Option Plan?

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Scenario 1: Founders and Investors Share Dilution

	$6 M Pre-Money
	$2 M Investment
Founders:	6,000,000 shares
Option Plan:	0 shares
Price:	$1 per share
Post Deal:	Add 2,000,000 share Option Plan; Investor owns 2M/10M or 20%

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Scenario 2: Founders Bear the Dilution

$6 M Pre-Money

$2 M Investment

Founders:	6,000,000 shares
Option Plan:	2,000,000 shares
Price:	$.75 per share
Post Deal:	Investor owns 2,666,666 of 10,666,666 shares or 25% Post Deal

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Negotiating Term-sheets

J. Peter Herz
Co-founder, Senior Vice President
3ware

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Overview

- What are the right priorities in funding?
- Term sheet summary
- The right priority… and the answer is
- Q&A with David Makarechian and Peter Herz

Disclaimer: 3ware's business defines many of the experiences described here. Your mileage will vary based on your own business and your personal priorities.

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What Are the Right Priorities in Funding?

- Valuation?
- Terms and conditions??
- The People investing???

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How Important Is Valuation?

$ in (000's)	Scenario A	Scenario B
Pre-money valuation	$ 3,000	$ 6,000
Raise	$ 1,000	$ 1,000
Post-money	$ 4,000	$ 7,000
Investors %	25%	14%
Founders %	75%	86%
Difference		11%

Double valuation

Only 11% difference

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Do Your Homework

- Sample funding plan
- At IPO: $10–20 per share/$200–400M market cap.

$ in (000's)	Series A	Series B	Series C	IPO
Pre-money valuation	$ 9,800	$ 31,532	$ 55,500	$ 250,000
Raise	$ 5,600	$ 7,000	$ 16,500	$ 50,000
Post-money	$ 18,018	$ 41,271	$ 83,451	$ 307,246
Months elapsed	6 mos.	12 mos.	18 mos.	36 mos.
Investors %	31%	43%	50%	58%
Founders %	52%	38%	30%	23%
Employees %	17%	19%	20%	19%
Founders value	$ 9,355	$ 15,778	$ 25,431	$ 71,213
Price per share	$ 2.00	$ 3.50	$ 5.19	$ 15.55
Total Option pool	1,309	2,092	3,200	3,666
Shares outstanding	9,009	11,792	16,079	19,761

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How Important Are the Terms?

- Setting expectations (defining goals)
- Major areas of concern:
  - References to a business plan/objectives
  - Liquidation preferences
  - Protective provisions
  - Employee option pool growth and timing
- Make sure you have a good lawyer

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How Important Are the People?

- The quality of the investors is everything
- No terms can protect you from the wrong people
- Financing is like a wedding
  - You will live with who you pick for many years
  - It isn't an end goal—It's the beginning…
- Check references: good deals and especially ones with issues
  - Good gut feel on people is essential

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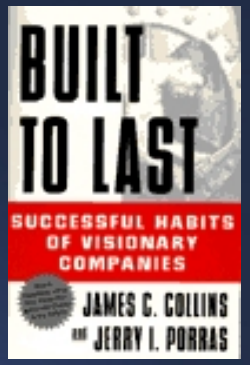
Background Information

- The following pages are for your reference

- Contact info:
  - J. Peter Herz, 3ware, Inc.
    - email: peter.herz@3ware.com

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Built to Last



Successful Habits of Visionary Companies
by James C. Collins and Jerry I. Porras

Walt Disney, Motorola, Merck, General Electric: These companies belong to an elite list of companies that Collins and Porras have dubbed "visionary"—they have beaten the competition decade after decade, made a significant impact on the world and outperformed the stock market by more than 50 times since 1926. The authors conducted intensive research to determine what these companies have in common, and arrived at a startling conclusion: Neither charismatic leadership, so valued in the 1980s, nor the elusive "great idea," makes for a visionary company.

Instead, these companies share a number of distinct characteristics: Core values that never change, a purpose beyond profits, a relentless drive to change and improve everything except their core values, cult-like devotion from their people and what the authors call BHAGs—"Big, Hairy, Audacious Goals."

Fundamentally altering the way the executives think about long-term success, *Built to Last* has become a bible among CEOs and managers at prestigious corporations the world over.

HarperBusiness. ISBN 0-88730-739-6 Trade pb; ©1996; 336 pages;

$15.00/$20.00(Can.)

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High Tech Startup

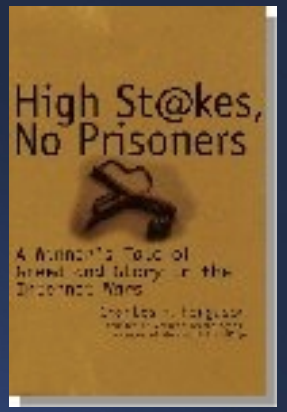


- Starting a company is an economically irrational act…
- More info at: www.startupweb.com

Nesheim, John L., 1942-
High tech startup / John L. Nesheim.
p. cm.
Includes bibliographical references and index.
ISBN 0-914405-71-3

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High st@kes, No Prisoners



- Good writer, but highly arrogant
- Good strategic analyst
- Created many of his problems himself

By Charles H. Ferguson

Published by Times Business

October 1999

$27.50US

ISBN: 0-8129-3143-2

392 pages

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Building High ROI Strategic Partnerships

Linda Peterson
CEO, InSync

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Partnering Fundamentals

- Why Partner
- When to Partner and With Whom
- CSFs of Partnering
- Partnership Processes
- Implementation Plan

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Why Strategic Partnerships?

- Gain access to technology
- Respond quickly to changing markets and competition
- Accelerate penetration of new markets
- Increase resources (marketing, financial and human)

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A Partnership Is Strategic When the Relationship…

- Shares a common vision
- Helps you capture a new market segment faster than you could do it yourself
- Accelerates your time to market
- Adds to the solution and is important to your priority customers
- Can be realized before the partner consumes your value added

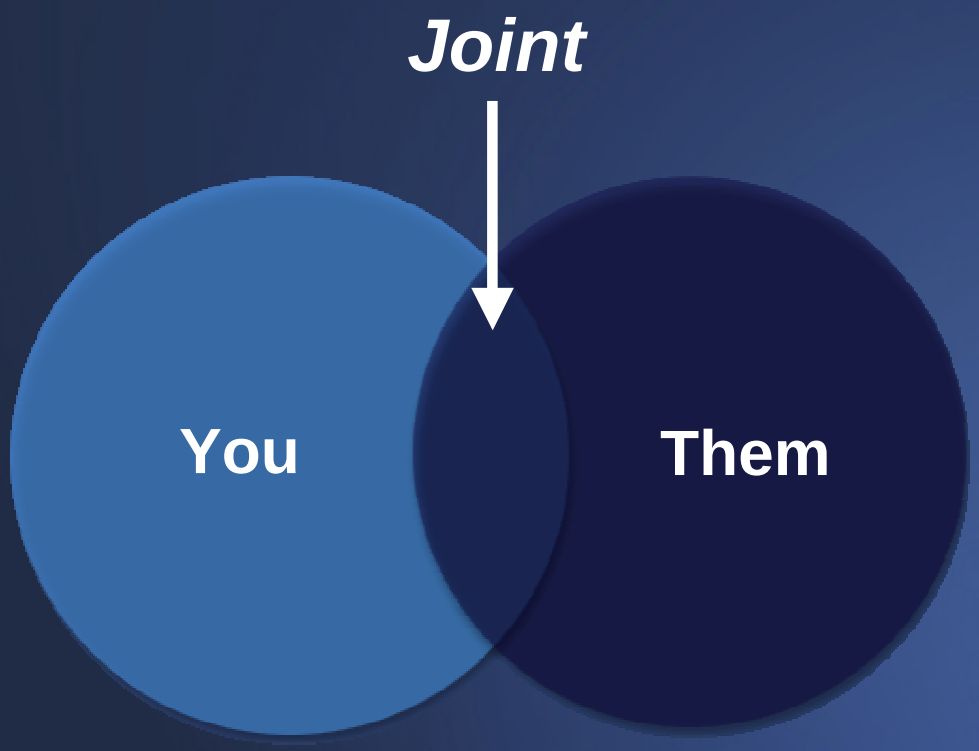
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Before you Recruit Partners

- Define your goals and objectives
- Be brutally honest
- Define the characteristics of your ideal partner
- Understand the fatal flaws
- Understand the partnership process and set realistic goals
- Be prepared to be flexible and to learn

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Partnership CSFs



- Compatible Values and Operating Styles
- Shared Objectives and Expectations
- Combined Operational Management
- Short Term Results—Long Term Objectives
- Mutual Trust

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Creating and Managing the Partnership

- Shared:
  - Management
  - Goals
  - Operations
  - Results
  - Reviews



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Partnership Recruitment Process

- Define your goals!
- **Qualify**
- Select/Recruit
- Technology Integration Plan
- Win-Win Business Agreement
- Shared Expectations and Management







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When Do You Have a Partnership?

- Defined a specific commitment for:
  - A finite period of time
  - Clarified roles and responsibilities
  - Joint processes
- The deal is signed by both parties!!!
- The contract is consummated—Show me the $

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Tips for Alliance Negotiations

- If the cultures don’t mesh—Don’t do the Deal!
- Do your Due Diligence in spades—Don’t ignore the warning flags!
- Develop a signed agreement that is written in plain English
- Consider using an independent 3rd party to facilitate negotiation process
- Keep the lawyers out until the end

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Final Words of Wisdom

DON'T…

- Wing-It
- Go it Alone
- Skip Due Diligence
- Ignore the Human Element

DO…

- Understand your value and the win-win
- Know what you want and don't want
- Leverage your network
- Balance need for speed with careful analysis
- Assess people fit and overall culture

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InSync Focus

- InSync enables *high tech companies* to establish *market leadership* positions in *emerging markets* by delivering *innovative customer solutions* that solve critical business challenges
- We tailor our approach for each client to maximize their return within start-up budgets by implementing customer-centric and market-driven programs

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InSync Services



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Partnering for Growth Panel Discussion

Panel Members

- Justin Segal: VP, Corporate Development
  Startups.com
- Kira Sherer: Director, Business Development
  Financial Finesse
- Rob Taylor: Senior Director, Business Development
  OmniSky

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Liquidity Through Mergers and Acquisitions

Brian Mutert
President
Stratagem Partnering, Inc.
bmutert@stratagem.com

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Stratagem's Mission

To provide the highest-quality strategic partnering services for software and Internet firms

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State of the M&A Deal Market

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M&A Volume Is Soaring

- 1999 > 1800 software M&A deals
  - Up 20% over 1998's record
  - 2000 still very active
- Most deals are still small
  - 80% of deals were under $50 million
  - 60% of deals were under $10 million
- Nearly 13 times as many tech M&A deals as tech IPOs

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Big Picture Drivers of M&A Volume

- Value of time to market
- Value of stock market
- Market size/globalization
- Proven high returns on investment

Results:

- Pace of deals soaring
- Valuations higher
- M&A is a competitive weapon

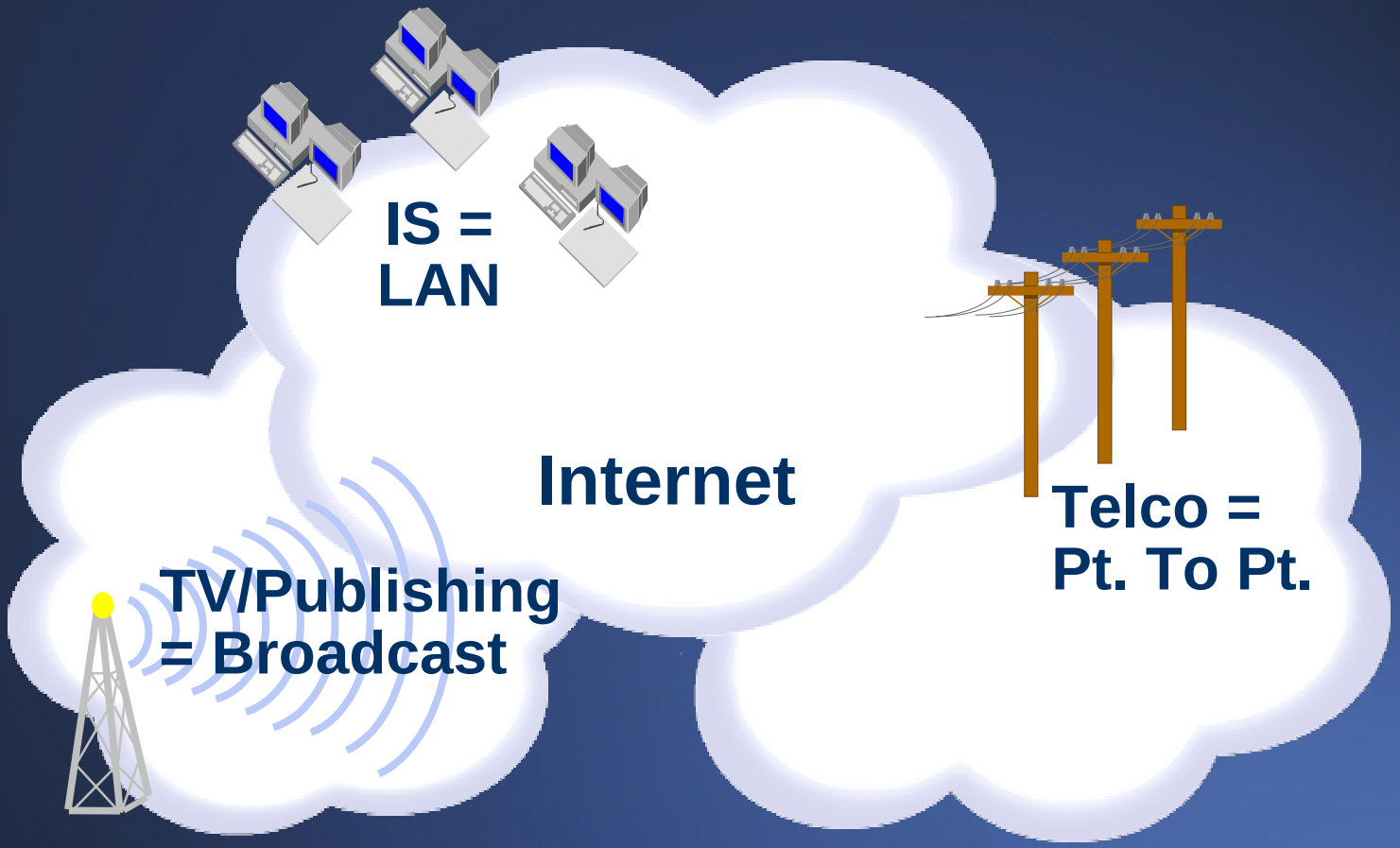
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Detailed M&A Drivers (Buyer's Perspective)

- Enter complementary, high growth market
- Expand distribution/geographical presence
- Leverage existing infrastructure
- Meet customer needs
- Beat up hated competitor
- Gain key talent
- Assure a source of supply

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Web has Driven Deal Volume



The same is happening with Mobile and Wireless Markets

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Game Changed: Major Shakeout Happenin'

- Near-term IPO calendar has virtually dried up!
- Collapse in share prices weakened many, took many acquirers out of market
  - Some Stocks down 90% with no hiccup
- Result: Supply/demand imbalance
  - More predatory acquisitions coming
  - Public-to-public tech M&A was up 50% in 1998!

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Should my company consider M&A?

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Why Consider M&A



Tremendous financial reward to shareholders!

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Why Consider M&A



In today's global economy you MUST…

Get big or DIE!

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Detailed M&A Drivers (Seller's Perspective)

- The right reasons:
  - Avoid dilution
  - Get technology ubiquitous
  - Gain customer access
  - Leapfrog competition
  - Change the rules of the game!

- The wrong reasons:
  - Out of cash/need to salvage value
  - Key team members defecting
  - Competitive position sucks!

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How do I initiate a winning M&A strategy?

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Commitment Is a Prerequisite

- Secure company buy-in (execs, board *and* key stakeholders)
  - Consensus vs. gridlock
  - Process vs. confusion
  - Success vs. failure
- Devote the necessary resources
  - Deals are time consuming
  - It's easy to get inundated
  - It's easy to get distracted from base business

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How to Survive/Thrive in a Competitive Deal Market

- Grab and hold attention of buyer
- Understand needs of buyer
  - Really get inside their head
  - Speak to them in their language
- Assemble a great team!
  - Company management
  - Investment bankers
  - Lawyers
  - Accountants

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Position Yourself to Be Acquired

- Position yourself as an attractive candidate
- Allow buyer to:
  - Enter complementary, high growth market
  - Enhance distribution model
  - Leverage existing infrastructure
  - Meet customer needs
  - Beat up hated competitor
  - Gain key talent
  - Assure a source of supply

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Heavy Preparation Necessary

- Document company position
- Build solid financial forecasts
- Thoroughly research your competitors
- Thoroughly research your partners

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Choosing Your Targets

- Start by casting a broad net
- Use all the resources at your disposal
  - Colleagues and co-workers
  - Partners
  - Industry analysts
  - Investment community/investment bankers
  - Venture capitalists
  - Lawyers
  - Tradeshows
  - Industry conferences and publications
  - The web
  - Target companies' competitors
- Selecting targets is a dynamic process

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Once Prepared: Gain Quality Interaction

- Quality partners get SEVERAL proposals a day
  - With so many proposals, you need prominent visibility
- Personal contacts are highly valuable
  - Management
  - Board Members
  - Investment Bankers
  - Etc.

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Timing Is Everything

- Deals often take 6–9 months to close
  - Hope for better
  - Prepare for worse
- Valuation is highly dependent upon timing
  - First movers usually get the best valuations
  - Beware of industry kingpin entering your market

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Valuations Wildly Variant

- Some deals still at 1X revenue
- Some $100M+ deals for zero revenue firms
- Bankruptcy court is increasingly impacting deal values
- Comparables give reasonable basis
  - But be current, the market has changed!
- Best way to maximize valuation is get competition for your deal

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Many Issues Other Than Price

- Risk reduction
- Tax treatment/timing
- Accounting treatment
- Employment/non-compete agreements
- Representations, warranties, covenants, indemnities, escrow
- Registration rights/liquidity

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Make the Investment
The Rewards Can Be Substantial

- Increased stature
- Personal growth

- Tahiti: You've Earned It!!!

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The Initial Public Offering

Darren Oberst
Principal, Head of Software

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Agenda

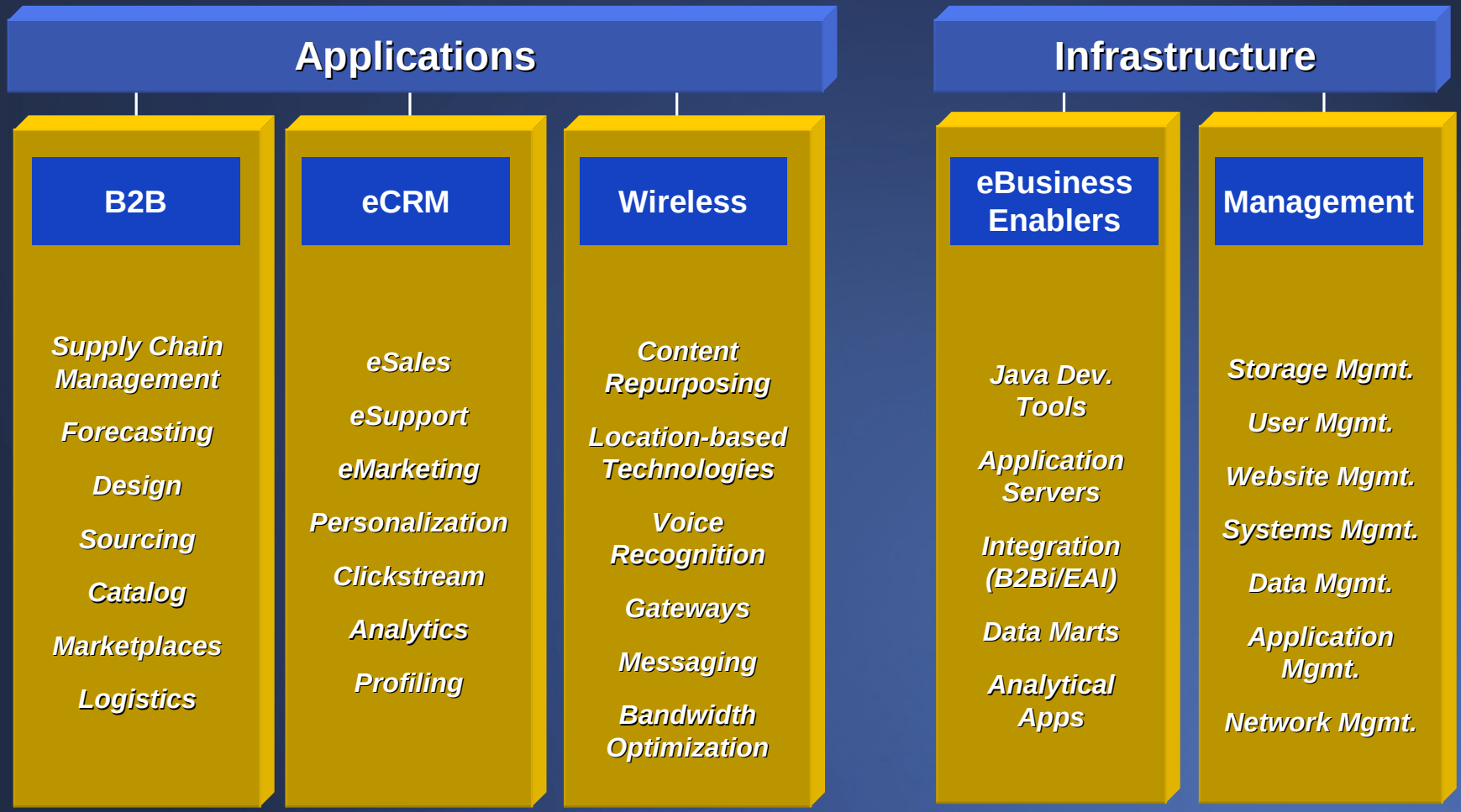
- Software at Robertson Stephens
- The IPO Process
- Characteristics of Recent Software IPOs
- Capital Markets Update

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Software at Robertson Stephens

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RS Software Practice



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The IPO Process

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The Initial Public Offering

Game Over or Just the Beginning?

- Exciting moment in life-cycle of company
- Life starts, not ends, after the IPO
- Complicated process involving many parties:
  - Company Management
  - Investment Bankers
  - Lawyers
  - Accountants
  - SEC
  - The Buy Side
- Valuation: Based on Projected Revenue Multiples

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Pros and Cons of Going IPO

Pros

- Capital
- New beginning
- Huge branding event
- Attract new customers
- Validation
- Public currency for M&A activities

Cons

- VC pressures
- 3–4 Month process
- Distraction from running core business
- Street expectations and pressures
- Intense scrutiny from an unforgiving market

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Sample IPO Schedule



January						
S	M	T	W	T	F	S
						1
2	3	4	5	6	7	8
9	10	11	12	13	14	15
16	17	18	19	20	21	22
23	24	25	26	27	28	29
30	31					

February						
S	M	T	W	T	F	S
		1	2	3	4	5
6	7	8	9	10	11	12
13	14	15	16	17	18	19
20	21	22	23	24	25	26
27	28	29				

March						
S	M	T	W	T	F	S
			1	2	3	4
5	6	7	8	9	10	11
12	13	14	15	16	17	18
19	20	21	22	23	24	25
26	27	28	29	30	31	

April						
S	M	T	W	T	F	S
						1
2	3	4	5	6	7	8
9	10	11	12	13	14	15
16	17	18	19	20	21	22
23	24	25	26	27	28	29
30						

Date	Activity
January 18	Organizational Meeting
January 25, 27, February 1, 3	Prospectus drafting sessions
February 7, 8, 9	Draft at printers; File S-1 on Wed, Feb 9
Weeks of February 14, 21, 28; March 6, 13	Roadshow preparation and review
Week of March 20	Receive and respond to SEC comments
Week of March 27	Teach-ins and dry runs at underwriters
Weeks of April 3, 10, 17	Roadshow, price and close—Pricing on Apr 18; Trading opens Apr 19

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Characteristics of Recent Software IPOs

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When Is a Company Ready?

Historical Requirements for an IPO

- Marquee customers
  - References
- Strong historical revenue growth rates
- Complete management team
  - CEO, CFO, CTO, VP Bus. Development, VP Sales
- Good revenue visibility into future quarters
  - Strong sales pipeline
  - Accumulation of deferred revenue
- Record $3–5 MM revenue in most recent quarter

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Capital Markets Update

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Software IPO Market: 2000

Q1 2000: IPO Euphoria

- Atypical quarter
- Very early stage companies went public
- Software stocks recorded all-time highs
- 40+ software equity offerings raising over $11 Billion
- Valued off projected revenue growth rates
  - Overlooked path to profitability, and
  - Long-term business model viability

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Software IPO Market: 2000

Q2 2000–Q4 2000: The Window Closes

- Less than 40 software equity offerings raising only $4 Billion
- Software companies off 60–80% from YTD highs
- Growing IPO backlog
- Many IPO registration statements withdrawn
- Capital markets more critical
  - Clear track to profitability
  - Solid revenue mass
  - More established operating histories

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Outlook for 2001

Questions Abound

- Re-opening of IPO Window?
- Continued inflow of VC money?
- Search for next new hot sector?
- Will software remain in favor?

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Concluding Thoughts

- eBusiness Software is real
- The IPO is not the end of the game
- 2000 was a wild ride
- Uncertainty about 2001

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